

OUTLOOK

The brief deflationary crunch of 1919-1921 was an advance warning of what the 1930s would bring after an intervening paper asset boom. In the same way, the deflationary crunch of 1980-1982 was an advance warning of what the next ten years will bring now that the intervening paper asset boom is ending. From the first half of 1980 to the summer of 1982, a dramatic collapse occurred in all three major markets: stocks, bonds and gold. As the previously *strong* markets (gold and silver) fell sharply in the initial declines of their new bear trends, the previously *weak* markets (stocks and bonds) plunged to final bottoms in their old bear trends. This across-the-board tumble was a foreshadowing of the coming difficulty, as the same phenomenon is scheduled to recur, but more severely. This time, the previously *strong* markets (stocks and bonds) will initiate Grand Supercycle bear markets, while the previously *weak* markets (precious metals) will plunge to final bottoms in their old bear trends.

As long as gold remains below the peak of wave © at \$502.30 (see Chapter 17), as long as breadth and the rates of change in the broadest stock market indexes do not indicate an upside acceleration (see Chapter 9), and as long as commodity indexes remain below their 1981 highs (see Chapter 18), the markets will continue to confirm a slowing of the long term upside momentum in the reflationary trend. When the uptrend ceases, a crushing bout of deflation will be unavoidable. As explained in Chapter 13, a reversal in the long term uptrend in the stock market will be the sign that the confidence bubble has burst. Proof that deflation and depression are the bond market's true concerns will be given when the PPI and the CPI begin falling, yet bonds are unable to exceed their previous highs.

While most prices will be falling during the coming deflation, there might be a few items that enjoy rising prices. However, any price rises are likely to be the product of temporary and selective forces, such as those discussed at the end of Chapter 18. Contrary to the popular idea that any rising prices indicate "inflation" or are "inflationary," rising prices, which when broadly based can reflect underlying inflation, actually contribute to the forces of deflation by diminishing the purchasing power of the consumer.

Timing the End of the Deflation

Elliott's guideline of alternation recognizes that markets alternate their patterns. This is particularly true of corrective waves